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Shenzhen Inovance Technology Co. Ltd - A

Moving to Neutral: Delivery and disclosure key for renewed upside; 3Q26 preview

▼Neutral

Previous: Overweight

300124.SZ, 300124 CH
Price (22 Sep 26):Rmb54.05

▼Price Target (Dec-27):Rmb55.00
Prior (Jun-27):Rmb84.00

Infrastructure, Industrials & Transport

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

Sunny Su
(852) 2800 8551
sunny.su@jpmorgan.com

Neil Zhang
(852) 2800-8598
neil.zhang@jpmorgan.com

Jenny Qiu, CFA
(852) 2800 8503
jenny.qiu@jpmorgan.com

Mufan Shi
(852) 2800-8502
mufan.shi@jpmorgan.com

Beatrice Lam
(852) 2800-8738
beatrice.lam@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

We update our model for Inovance and move to a Neutral rating with a new PT of Rmb55, extended to Dec-27. While Inovance remains a high-quality company with a strong record in execution, product innovation and market share gains, we see a more balanced risk/reward after c.30% YTD underperformance (vs. CSI300 -2%) and a series of earnings misses, particularly in New Energy. Despite robust FA demand and earlier IA order strength, four consecutive quarters of profit delivery underperformance and the pause in monthly IA order disclosures have eroded confidence. We cut our FY26-28 earnings forecasts by c.9%, bringing our numbers to c.5% below consensus, and now apply a lower FY27E fair P/E multiple of c.21x. We believe a step back is warranted until we see a clear reacceleration in earnings growth and improved transparency.

- **The 3Q26 preview highlights the need for stronger delivery from core businesses as IA growth moderates and NEV remains a drag.** We expect Inovance to post low-teens sales growth and c.8% Y/Y profit growth in 3Q26, with IA sales growth slowing to c.20% Y/Y and the NEV and elevator segments likely to remain muted. Price pass-through in NEV is limited, and NEV segment profit could decline by c.80% Y/Y, putting more pressure on IA and elevator to deliver c.25% Y/Y profit growth to achieve consolidated targets. Looking ahead, 4Q26 should benefit from a more favorable base, with revenue growth of c.15% Y/Y and profit growth potentially rebounding to c.70% Y/Y as comps ease and non-operating items normalize.
- **The pause in monthly IA order disclosures and softer PA demand introduce uncertainty, but the FA cycle and market share gains still provide a foundation for recovery.** Management's decision to halt monthly IA order reporting since August reduces near-term visibility, especially as order growth has moderated from the 30-40% Y/Y pace seen earlier in 2026. The deceleration is linked mainly to weaker process automation (PA) demand, particularly in oil & gas, chemical engineering and metallurgy, where last year's large projects created a high base. MIR data point to continued muted capex and project delays in these traditional markets, and with PA exposure at 10-20% of IA, a sharp decline in PA could weigh on overall IA order growth by several ppts. While the high base effect is likely to persist through year-end, Inovance's positioning in the FA cycle, ongoing market share gains and product innovation still provide a foundation for recovery as sector conditions stabilize.
- **Margin trends, business mix and international expansion remain key points to watch as Inovance navigates a more challenging environment.** Inovance's FA pricing power and margin trends are holding up, with cost discipline and product mix supporting earnings quality, but raw material inflation remains a headwind. The company is prioritizing higher-margin projects and digitalization, while selectively abandoning low-margin domestic ESS business in favor of international opportunities. Robotics is progressing,

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.25	2.05	-8.9%
Adj. EPS - 27E (Rmb)	2.77	2.57	-6.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	81	84	85	88	93
Growth	35	22	28	22	31
Momentum	61	42	63	48	14
Quality	28	19	28	18	26
Low Vol	48	61	59	27	70
ESGQ	1	1	6	6	18

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

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Price Performance



	YTD	1m	3m	12m
Abs	-28.2%	-8.4%	-21.6%	-33.9%
Rel	-27.8%	-9.6%	-16.5%	-37.2%

Company Data

Shares O/S (mn)	2,707
52-week range (Rmb)	91.00-49.95
Market cap ($ mn)	21,854
Exchange rate	6.69
Free float (%)	61.9%
3M ADV (mn)	31.91
3M ADV ($ mn)	297.4
Volatility (90 Day)	38
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	36|2|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,105	52,834	59,015	66,141
Adj. EBITDA	6,633	7,586	8,488	10,253
Adj. EBIT	5,517	6,131	7,327	8,933
Adj. net income	5,050	5,555	6,967	8,564
Adj. EPS	1.87	2.05	2.57	3.16
BBG EPS	2.03	2.19	2.71	3.27
Cashflow from operations	6,681	7,105	7,933	9,377
FCFF	3,649	3,373	5,386	6,662
Margins and Growth				
Revenue Growth Y/Y (%)	21.8%	17.1%	11.7%	12.1%
EBITDA margin	14.7%	14.4%	14.4%	15.5%
EBITDA Growth Y/Y (%)	22.5%	14.4%	11.9%	20.8%
EBIT margin	12.2%	11.6%	12.4%	13.5%
Net margin	11.2%	10.5%	11.8%	12.9%
Adj. EPS growth	17.2%	9.7%	25.4%	22.9%
Ratios				
Adj. tax rate	4.8%	5.3%	5.8%	6.3%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	14.8%	14.1%	15.3%	16.5%
ROE	15.9%	14.8%	16.5%	17.7%
Valuation				
FCFF yield	2.5%	2.3%	3.7%	4.6%
Dividend yield	0.8%	1.0%	1.3%	1.6%
EV/Revenue	3.3	2.8	2.5	2.3
EV/EBITDA	22.5	19.7	17.6	14.6
Adj. P/E	28.9	26.3	21.0	17.1

Summary Investment Thesis and Valuation

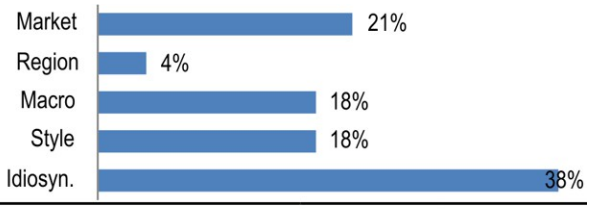
Investment Thesis

We are Neutral on Shenzhen Inovance. While Inovance remains a high-quality company with a strong record in execution, product innovation and market share gains, we see a more balanced risk/reward following a series of earnings fluctuations, particularly in New Energy. Despite robust FA demand and earlier IA order strength, four consecutive quarters of underperforming earnings delivery and the pause in monthly IA order disclosures have eroded confidence.

Valuation

Our DCF-based Dec-27 PT of Rmb55 is based on terminal growth of 0% and a WACC of 8.8%, calculated based on the following assumptions: cost of equity at 9.3% (based on Rf = 2.5% [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4% and a target debt-to-capital of 10%. Our PT translates into a target PEG of 0.9x against our earnings growth projection of 25% for FY27.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.43	0.46
Region: China	0.19	0.23
Macro:		
US 10 Year Yield	0.51	0.38
Emerging Economies CPI(YoY)	0.34	0.26
JP Morgan GBI-EM Global Div	-0.28	-0.26
Quant Styles:		
Size	-0.38	-0.28
Value	-0.05	-0.21
DivYld	-0.04	-0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

with small-batch sales and the validation of new products, and the New Energy business, while still a drag, is seeing the impact drop as the base eases and overseas volume ramps up. We see a more balanced risk/reward at current levels and believe a sustained earnings recovery and improved disclosures will be needed for the stock to re-rate.

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

Waiting for re-acceleration in earnings and improved visibility; downgrade to Neutral

We update our model for Inovance and downgrade the stock to Neutral with a new PT of Rmb55. The stock has underperformed YTD, down c.30% (vs. CSI300 -2%), despite a better-than-expected FA demand cycle, as reflected in Inovance's IA order growth. The underperformance has been driven by a series of earnings misses, particularly from the New Energy (EV) segment, which turned loss-making in 2Q26 due to weaker-than-expected demand, intensifying competition and higher costs that could not be fully passed through. While China's FA cycle remains favorable—recent briefings highlighted robust end demand across lithium battery, 3C, machine tools and HVAC—and the comparison base for New Energy is easing, we see scope for a better profit print in 3Q26. However, four consecutive quarters of earnings delivery pressure have eroded confidence, and the recent decision to pause monthly IA order disclosures, with the risk of continued discontinuation, raises further concerns about transparency and near-term visibility.

We believe Inovance remains a high-quality company with a strong track record of execution, market share gains and product innovation. However, with earnings growth easing to single digits and the company missing expectations consistently since 2Q25, we believe investors should take a step back and reallocate resources. We believe earnings growth needs to reaccelerate back to double digits for the stock to rally again and that consistent, continued IA order disclosures are essential to restoring confidence. The stock no longer trades at a 1x PEG; we now value it at a c.21x FY27E P/E vs. our 25% earnings growth projection for 2027. Given the recent track record and the need to deliver on both headline and underlying earnings—including the impact of non-operating income and the New Energy business—we see a more balanced risk/reward at current levels. Our new PT of Rmb55 reflects these adjustments and implies a more prudent stance until we see clear evidence of a sustained earnings recovery and improved disclosure practices.

3Q26 preview and (discontinued disclosure of) IA monthly order trend

3Q26 preview points to slower IA growth, muted NEV and elevator performance, and a need for strong IA and elevator profit delivery to offset NEV weakness. We expect Inovance to deliver low-teens sales growth and c.8% Y/Y profit growth in 3Q26, with IA sales growth slowing to c.20% Y/Y and the NEV and elevator segments likely to remain muted. Price pass-through in NEV is expected to be limited, and NEV segment profit could decline by c.80% Y/Y. To achieve consolidated profit growth, the IA and elevator businesses will need to deliver c.25% Y/Y profit growth. Looking ahead, 4Q26 should see a more favorable base, with revenue growth of c.15% Y/Y and profit growth potentially rebounding to c.70% Y/Y, driven by easier comps and normalized non-operating items.

Notwithstanding Inovance's pause in monthly order disclosures since August, which introduces some uncertainty to us, the underlying FA cycle and market share gains remain supportive. While management's decision to stop reporting monthly IA orders since August does reduce near-term visibility, it comes as order growth has moderated from the 30-40% Y/Y pace seen in the first seven months of

2026. The deceleration is linked mainly to softer PA demand, particularly in verticals like oil & gas, chemical engineering and metallurgy, where last year's large projects created a high base. MIR data point to continued muted capex and project delays in these traditional markets, and with Inovance's PA exposure at 10-20% of IA, a sharp decline in PA could weigh on overall IA order growth by several ppts. While the high base effect is likely to persist through year-end, Inovance's positioning in the FA cycle, ongoing market share gains and product innovation still provide a foundation for recovery as sector conditions stabilize.

Quarterly earnings volatility has been driven by non-operating income swings, but the base effect should ease in 4Q26, improving earnings visibility. Inovance's earnings have been more volatile in recent years due to non-operating factors, particularly fair value fluctuations and forex turbulence. The company's investment trust fund, focused on the NEV and automation supply chain in Europe, has exposed earnings to Euro forex swings and secondary market performance. With the CNY strong YTD, 3Q26 is still likely to see a negative non-operating contribution, but 4Q26 should benefit from a much easier comp. This normalization of one-off gains and losses should help improve earnings visibility and reduce headline volatility as the base effect rolls off.

Business update

FA's pricing power and margin trends are holding up, with cost discipline and product mix supporting earnings quality, but raw material inflation remains a headwind. Management reported that recent price increases and a shift toward higher-margin products are helping offset raw material inflation, with IA gross margin improving Q/Q in 2Q26. The company is prioritizing pricing discipline and operational leverage, and expects incremental margin improvement as new products scale and cost controls remain tight. However, rising costs for copper, aluminum and electronic components continue to pressure margins, and the ability to fully pass through these costs remains a challenge. The focus on higher-value solutions and digitalization is helping mitigate some of the impact, but cost headwinds are likely to persist near-term.

PA business is seeing mixed momentum, with investment in advanced PLCs, industrial software and digital twins, but growth is more moderate compared to discrete IA. Process automation remains a strategic focus for Inovance, with management investing in engineering software and functional safety to accelerate share gains. Some customers in process industries flagged project delays or high base effects, and August demand was softer due to these factors. The company is focused on improving engineering software and accelerating share gains, but the pace of growth in PA is more moderate compared to discrete IA. Management expects PA to remain a key growth area as digitalization and operational efficiency become more important, but near-term visibility is limited.

Robotics business is progressing, with small-batch sales of motors and the validation of seven-axis arms in industrial scenarios, and management is focused on vertical, scenario-specific applications. Inovance is ramping up investment in robotics, prioritizing modular components and solutions for industrial use, rather than pursuing general-purpose humanoid robots. The main opportunity in the next three years is seen in vertical, scenario-specific applications, with ongoing customer trials and feedback. Revenue contribution is still small, but growing, and margin is improving as new products gain acceptance. The company's expertise in automation and industrial hardware positions it well to capture emerging opportunities in robotics, but the segment

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

is still in early-stage development.

New Energy business remains a drag, but management sees the impact dropping as the base eases and price transmission improves, with overseas volume ramping up and new customer wins. Management acknowledged that NEV margin remains under pressure due to raw material inflation and weak domestic demand, but said some price increases are now being accepted by customers, which should help margin recovery. The drag from NEV is dropping as the base effect eases and international projects ramp up, especially in Europe. The smart chassis business is scaling, and management expects less pressure in 2H26 and 2027 as overseas contributions increase. Management did not commit to a breakeven timeline, but signaled that the outlook is improving and the worst is likely behind it.

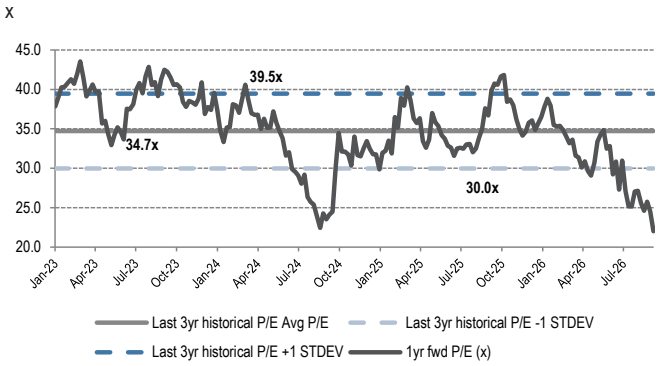
ESS and overseas businesses are seeing rapid development, with management focusing on higher-margin international projects and selectively abandoning low-margin domestic business. ESS and digital energy revenue nearly doubled Y/Y in 1H26, with overseas orders up 100%. Management is prioritizing higher-margin projects abroad, particularly in Europe, and is building out zero-carbon solution pilots. Domestic low-margin projects are being selectively abandoned to improve the overall margin profile. Management described overseas ESS margins as better than domestic, but did not commit to breakeven or profitability in the near term. The focus remains on scaling international business and piloting new solutions, with customer engagement and partnership expansion under way. Overseas revenue is rising, with new projects and customer wins in Europe, Southeast Asia and India.

Table 1: Inovance - Key profit swings in past quarters

	Non-operating items	Non-operating item impact	Operating items
2Q26	Overseas fund holding fair value loss due to forex	-ve	
1Q26	Overseas Asset impairment (in Euro), as their investment fund return turned negative	-ve	
4Q25	Fair value gain/loss and investment income dampened by forex factors, etc	-ve	
3Q25	investment income +ve contribution; investment disposal gain	+ve	NEV sales momentum worsening, fiercer pricing competition; Salary hike from 3Q25
2Q25	investment income +ve contribution: Rmb200-300MM profit contribution from equity investment as of 1H25	+ve	
1Q25	investment income +ve contribution	+ve	
4Q24	Fair value loss from fair value change of as primary market equity investment entering the listed phase	-ve	
3Q24	One off government compensation from Suzhou factory relocation at Rmb170MM	+ve	Fading Tax benefit from technology subsidiaries
2Q24	Fair value loss	-ve	
1Q24	Fair value loss	-ve	
4Q23	Equity investment fair value gain at Rmb100MM profit contribution	+ve	
3Q23	Fair value loss due to secondary market fluctuation; NEV customer asset impairment	-ve	
2Q23	JV (Qianhai Jinrui) equity investment fair value gain at Rmb100MM profit contribution driven by Euro forex gain; own equity investment' fair value loss	net -ve	
1Q23	NA	+ve	

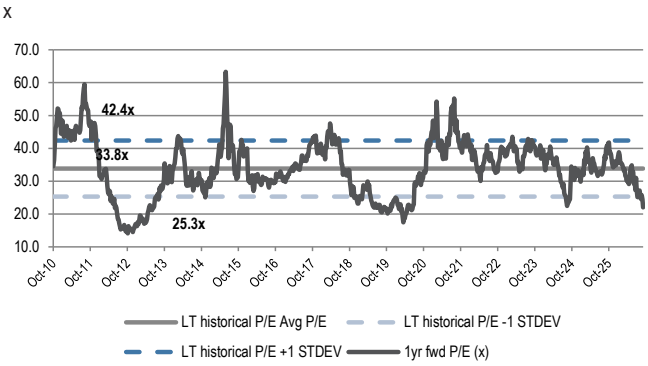
Source: J.P. Morgan, reconciliation from earnings briefing and quarterly report highlights as a qualitative indicator of the key profit factors over the past three years.

Figure 1: Inovance - Three-year P/E band



Source: Bloomberg Finance L.P., priced as of 21 September 2026; J.P. Morgan estimates for EPS.

Figure 2: Inovance - Long-term P/E band



Source: Bloomberg Finance L.P., priced as of 21 September 2026; J.P. Morgan estimates for EPS.

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

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Table 2: IA comp table

	BBG Ticker	JPM rating	Last Price LC	JPM PT LC	Upside/ Downside	Mkt Cap US$Mn	Daily turnover US$Mn	YTD Stock perf.	P/E (x) FY26E	P/E (x) FY27E	EPS growth Y/Y FY26E	EPS growth Y/Y FY27E	PEG(x) FY26E	ROE (%) FY26E	ROE (%) FY27E	P/B (x) FY26E	P/B (x) FY27E
China/HK automation																	
Inovance	300124 CH	N	54	55	2%	21,861	293.9	-28%	27	21	10%	25%	1.0	14.8	16.5	3.7	3.2
Estun	002747 CH	OW	30	52	75%	4,045	402.0	25%	120	85	507%	42%	0.2	10.9	11.6	8.4	7.7
OPT	688686 CH	NC	141	NA	NA	2,575	42.7	4%	69	48	35%	43%	2.0	8.0	10.2	5.3	4.9
Yiheda	301029 CH	N	25	24	-5%	2,387	52.7	-5%	26	22	19%	21%	1.4	13.6	15.5	3.5	3.3
Hongfa	600885 CH	OW	34	43	27%	7,808	90.9	11%	23	19	19%	10%	1.2	16.0	17.7	3.7	3.2
Leader Drive	688017 CH	OW	289	546	89%	7,906	573.7	50%	360	236	64%	53%	5.6	5.8	8.4	14.4	13.6
Sanhua-A	002050 CH	OW	36	51	41%	21,669	453.3	-35%	35	28	-1%	25%	-36.6	12.8	14.6	4.4	3.9
Sanhua-H	2050 HK	OW	25	38	53%	21,669	31.2	-35%	21	17	-1%	25%	-21.4	12.8	14.6	2.6	2.3
Jiangsu Hengli	601100 CH	OW	92	126	36%	18,491	122.5	-16%	39	30	16%	32%	2.5	17.3	20.2	6.4	5.6
HCFA	688320 CH	NC	37	NA	NA	825	25.3	-2%	NA	NA	NA	NA	NA	NA	NA	NA	NA
SUPCON	688777 CH	NC	82	NA	NA	9,651	250.3	16%	100	68	46%	46%	2.2	6.4	8.6	6.2	5.9
Shuanghuan Driveline	002472 CH	NC	38	NA	NA	4,790	188.4	-20%	23	19	11%	18%	2.1	13.1	13.7	2.9	2.5
Zhongda Leader	002896 CH	NC	61	NA	NA	1,797	117.2	-31%	107	90	78%	19%	1.4	8.7	9.7	9.4	8.7
UBTech	9880 HK	OW	80	118	48%	5,190	84.5	-37%	-85	167	48%	151%	-1.8	-5.7	2.9	5.0	4.9
Zhongda Leader	002896 CH	NC	61	NA	NA	1,797	117.2	-31%	107	90	78%	19%	1.4	8.7	9.7	9.4	8.7
Guomao Reducer	603915 CH	NC	13	NA	NA	1,322	14.1	-28%	26	24	40%	12%	0.7	8.2	8.8	2.2	2.1
Average									**67**	**64**	**65%**	**36%**	**-2.5**	**10.1**	**12.2**	**5.8**	**5.4**
Asia (ex-China) automation																	
Delta	2308 TT	OW	1900	2500	32%	155,581	727.4	97%	44	29	86%	53%	0.5	37.4	44.6	15.0	11.2
Hiwin	2049 TT	UW	331	160	-52%	3,692	48.6	71%	61	52	27%	18%	2.3	5.2	6.0	3.1	3.0
Airtac	1590 TT	OW	1260	1350	7%	7,944	37.3	32%	26	23	17%	10%	1.5	18.1	18.4	4.5	4.1
Keyence	6861 JP	NC	76580	NA	NA	118,599	304.3	38%	33	29	27%	12%	1.2	15.5	15.7	4.8	4.3
FANUC	6954 JP	NC	5852	NA	NA	36,604	242.4	-4%	26	25	24%	7%	1.1	10.8	11.4	2.8	2.7
NSK	6471 JP	NC	1082	NA	NA	3,445	16.9	11%	16	13	44%	21%	0.4	4.9	6.0	0.8	0.8
SMC	6273 JP	NC	66330	NA	NA	26,977	128.5	22%	19	18	30%	6%	0.6	10.1	10.1	1.9	1.8
Harmonic Drive System	6324 JP	NC	6200	NA	NA	3,803	65.9	64%	90	60	306%	49%	0.3	7.9	10.5	7.0	6.5
Yaskawa	6506 JP	NC	4383	NA	NA	7,443	192.9	-8%	24	20	33%	24%	0.7	9.3	10.9	2.2	2.1
THK	6481 JP	NC	6272	NA	NA	4,757	49.8	57%	16	15	NA	6%	NA	15.6	16.6	2.3	2.0
MISUMI	9962 JP	NC	3630	NA	NA	6,595	33.6	48%	20	18	22%	13%	0.9	12.4	13.7	2.4	2.4
Nabtesco	6268 JP	NC	4619	NA	NA	3,473	33.3	23%	20	18	79%	7%	0.2	9.0	9.1	1.8	1.7
Sumitomo	8316 JP	OW	6830	8220	20%	165,319	508.9	38%	14	12	17%	17%	0.8	11.2	12.4	1.5	1.5
Average									**31**	**25**	**59%**	**19%**	**0.9**	**12.9**	**14.3**	**3.9**	**3.4**

Source: Bloomberg Finance L.P., priced as of 22 September 2026; J.P. Morgan estimates for covered names.

Karen Li, CFA AC
(852) 2800-8589
karen.yy.li@jpmorgan.com

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Investment Thesis, Valuation and Risks

Shenzhen Inovance Technology Co. Ltd - A *(Neutral; Price Target: Rmb55.00)*

Investment Thesis
We are Neutral on Shenzhen Inovance. While Inovance remains a high-quality company with a strong record in execution, product innovation and market share gains, we see a more balanced risk/reward following a series of earnings fluctuations, particularly in New Energy. Despite robust FA demand and earlier IA order strength, four consecutive quarters of underperforming earnings delivery and the pause in monthly IA order disclosures have eroded confidence.

Valuation
Our DCF-based Dec-27 PT of Rmb55 is based on terminal growth of 0% and a WACC of 8.8%, calculated based on the following assumptions: cost of equity at 9.3% (based on Rf = 2.5% [aligned with the latest China 10-year bond yield], an equity risk premium of 6.8% and a beta of 1.0x), cost of debt at ~4% and a target debt-to-capital of 10%. Our PT translates into a target PEG of 0.9x against our earnings growth projection of 25% for FY27.

Risks to Rating and Price Target
Downside risks include: (1) worse-than-expected IA segment growth; (2) smaller-than-expected market share gains from Japanese and European/US brands; (3) worse-than-expected GPM due to fiercer pricing competition across IA, elevator and NEV businesses; and (4) fiercer market competition in the NEV PV controller business.

Upside risks include: (1) better-than-expected IA segment growth; (2) faster-than-expected overseas market expansion progress; and (3) better-than-expected new business initiative ramp-up, such as humanoid robot components.

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

J.P.Morgan

Shenzhen Inovance Technology Co. Ltd - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**37,041**	**45,105**	**52,834**	**59,015**	**66,141**
COGS	(26,409)	(32,045)	(37,577)	(41,615)	(45,985)
Gross profit	**10,632**	**13,060**	**15,256**	**17,399**	**20,157**
SG&A	(6,169)	(7,616)	(8,903)	(9,885)	(11,013)
Adj. EBITDA	**5,417**	**6,633**	**7,586**	**8,488**	**10,253**
D&A	(850)	(1,117)	(1,455)	(1,161)	(1,320)
Adj. EBIT	**4,567**	**5,517**	**6,131**	**7,327**	**8,933**
Net Interest	57	59	126	248	429
Adj. PBT	**4,609**	**5,433**	**6,008**	**7,575**	**9,362**
Tax	(262)	(261)	(318)	(439)	(590)
Minority Interest	(61)	(123)	(135)	(169)	(208)
Adj. Net Income	**4,285**	**5,050**	**5,555**	**6,967**	**8,564**
Reported EPS	1.60	1.87	2.05	2.57	3.16
Adj. EPS	**1.60**	**1.87**	**2.05**	**2.57**	**3.16**
DPS	**0.41**	**0.41**	**0.55**	**0.69**	**0.85**
Payout ratio	25.7%	21.9%	26.8%	26.8%	26.8%
Shares outstanding	2,685	2,700	2,707	2,707	2,707

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,558	7,033	9,165	12,172	17,799
Accounts receivable	14,219	15,744	18,442	20,599	23,087
Inventories	7,057	8,165	9,266	10,262	11,339
Other current assets	5,616	12,067	12,205	12,316	12,443
Current assets	**30,451**	**43,009**	**49,078**	**55,349**	**64,669**
PP&E	7,041	9,893	10,786	11,223	11,540
LT investments	0	0	0	0	0
Other non current assets	19,687	18,413	19,529	20,244	20,920
Total assets	**57,179**	**71,314**	**79,393**	**86,816**	**97,128**
Short term borrowings	1,281	2,132	3,372	2,000	2,000
Payables	16,998	21,683	24,912	27,589	30,486
Other short term liabilities	5,094	6,079	6,724	7,195	7,705
Current liabilities	**23,374**	**29,894**	**35,009**	**36,784**	**40,191**
Long-term debt	2,874	1,572	200	200	200
Other long term liabilities	2,501	2,713	2,713	2,713	2,713
Total liabilities	**28,750**	**34,180**	**37,922**	**39,698**	**43,104**
Shareholders' equity	27,994	35,353	39,554	45,032	51,730
Minority interests	435	1,782	1,917	2,086	2,294
Total liabilities & equity	**57,179**	**71,314**	**79,393**	**86,816**	**97,128**
BVPS	**10.39**	**13.06**	**14.61**	**16.64**	**19.11**
y/y Growth	*13.6%*	*25.7%*	*11.9%*	*13.8%*	*14.9%*
Net debt/(cash)	597	(3,328)	(5,593)	(9,972)	(15,599)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**7,200**	**6,681**	**7,105**	**7,933**	**9,377**
o/w Depreciation & amortization	850	1,117	1,455	1,161	1,320
o/w Changes in working capital	1,699	(123)	(63)	(116)	(286)
Cash flow from investing activities	**(10,551)**	**(5,536)**	**(3,329)**	**(1,940)**	**(1,788)**
o/w Capital expenditure	(2,112)	(3,024)	(3,613)	(2,313)	(2,313)
as % of sales	*5.7%*	*6.7%*	*6.8%*	*3.9%*	*3.5%*
Cash flow from financing activities	**(1,833)**	**2,892**	**(1,643)**	**(2,986)**	**(1,962)**
o/w Dividends paid	(1,335)	(1,235)	(1,353)	(1,489)	(1,867)
o/w Shares issued/(repurchased)	-	-	-	-	-
o/w Net debt issued/(repaid)	(109)	(574)	(132)	(1,372)	0
Net change in cash	**(5,200)**	**4,047**	**2,133**	**3,007**	**5,627**
Adj. Free cash flow to firm	**5,221**	**3,649**	**3,373**	**5,386**	**6,662**
y/y Growth	*182.0%*	*(30.1%)*	*(7.6%)*	*59.7%*	*23.7%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	28.7%	29.0%	28.9%	29.5%	30.5%
EBITDA margin	14.6%	14.7%	14.4%	14.4%	15.5%
EBIT margin	12.3%	12.2%	11.6%	12.4%	13.5%
Net profit margin	11.6%	11.2%	10.5%	11.8%	12.9%
ROE	16.3%	15.9%	14.8%	16.5%	17.7%
ROA	8.1%	7.9%	7.4%	8.4%	9.3%
ROCE	14.2%	14.8%	14.1%	15.3%	16.5%
SG&A/Sales	16.7%	16.9%	16.9%	16.8%	16.7%
Net debt/Equity	0.0	NM	NM	NM	NM
Net debt/EBITDA	0.1	NM	NM	NM	NM
Sales/Assets (x)	0.7	0.7	0.7	0.7	0.7
Assets/Equity (x)	2.02	2.03	2.01	1.96	1.90
Interest cover (x)	NM	NM	NM	NM	NM
Operating leverage	(8.3%)	95.6%	65.0%	166.7%	181.5%
Tax rate	5.7%	4.8%	5.3%	5.8%	6.3%
Revenue y/y Growth	21.8%	21.8%	17.1%	11.7%	12.1%
EBITDA y/y Growth	2.2%	22.5%	14.4%	11.9%	20.8%
EPS y/y Growth	(10.2%)	17.2%	9.7%	25.4%	22.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	33.9	28.9	26.3	21.0	17.1
P/BV (x)	5.2	4.1	3.7	3.2	2.8
EV/EBITDA (x)	27.6	22.5	19.7	17.6	14.6
Dividend Yield	0.8%	0.8%	1.0%	1.3%	1.6%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Karen Li, CFA [AC]
(852) 2800-8589
karen.yy.li@jpmorgan.com

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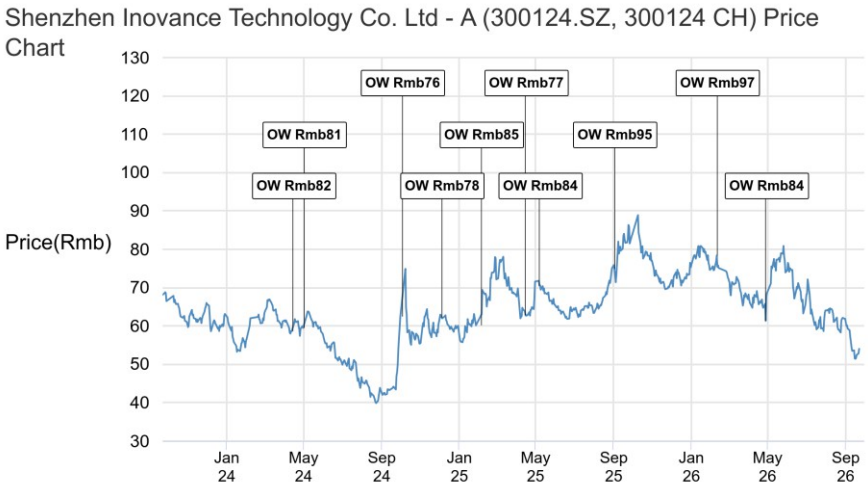
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Date	Rating	Price (Rmb)	Price Target (Rmb)
15-Apr-24	OW	58.63	82
02-May-24	OW	59.50	81
04-Oct-24	OW	62.45	76
05-Dec-24	OW	62.24	78
05-Feb-25	OW	60.19	85
16-Apr-25	OW	62.79	77
08-May-25	OW	70.48	84
03-Sep-25	OW	74.90	95
11-Feb-26	OW	78.37	97
29-Apr-26	OW	61.36	84

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 18, 2017. All share prices are as of market close on the previous business day.

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